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LMS ACTIVITY

MODULE 10: ESTABLISHING AN INVESTMENT-GRADE ORGANIZATION

Preliminary Activity for Week 10

1. What are the key elements that define effective corporate governance, and how do these elements interact to promote ethical business practices within an organization?

The key elements of effective corporate governance include a clear organizational structure, transparent decision-making, accountability, and strong oversight by the board of directors. These elements work together to make sure the company follows laws, treats stakeholders fairly, and makes decisions in an ethical way. For example, transparency helps employees and investors trust the company, while accountability ensures leaders are responsible for their actions, promoting ethical business practices throughout the organization.

Generalization for Week 10

ANSWER THE FOLLOWING:

1. Discuss the importance of corporate governance in ensuring ethical decision-making within a company. In your answer, explain how effective corporate governance practices can enhance stakeholder trust and contribute to the long-term success of the organization.

Corporate governance is important because it sets rules and processes that guide how a company is run, making sure decisions are fair and ethical. When a company has good governance, stakeholders like investors, employees, and customers can trust that the business is honest and responsible. This trust helps the company build strong relationships, avoid problems like fraud, and grow steadily, which contributes to long-term success.